OFFERING MEMORANDUM

Westgate Homes | Naperville, IL

Property	Westgate Homes
Location	4069 Elm Boulevard, Naperville, IL 43885
Property Type	Single-Family Rental
Size	89 homes
Year Built	2005
Offering	Unpriced - Offers Due March 9, 2018

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Turn costs average $457,000 per home, and the in-house maintenance team handles most work orders within 10 days. Homes average 1,928 square feet with average monthly rent of $2,138. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 3.2% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

Market Overview

Median household income within a 2-mile radius of the property is approximately $177,000 and has grown 8.7% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $155,000 per home, and the in-house maintenance team handles most work orders within 32 days. Market vacancy for comparable Single-Family Rental product stands at 9.5%, down from 4.3% two years ago. Rent growth in the submarket has averaged 3.6% annually over the past 11 years.

Median household income within a 4-mile radius of the property is approximately $46,000 and has grown 2.9% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Homes average 1,928 square feet with average monthly rent of $2,138. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Investor demand for Single-Family Rental assets in Naperville remains strong with recent trades at capitalization rates between 7.04% and 7.04%. Employment growth is led by healthcare, logistics, education and professional services sectors.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $42,000 per home, and the in-house maintenance team handles most work orders within 10 days. Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Homes average 1,928 square feet with average monthly rent of $2,138.

Submarket Analysis

Market vacancy for comparable Single-Family Rental product stands at 13.3%, down from 6.6% two years ago. Investor demand for Single-Family Rental assets in Naperville remains strong with recent trades at capitalization rates between 5.28% and 5.28%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 7.9% annually over the past 3 years. Median household income within a 2-mile radius of the property is approximately $192,000 and has grown 2.1% annually. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

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Disclaimer and Confidentiality

Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of IL. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Westgate Homes and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Westgate Homes and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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